



bp 4Q and FY 2025 Results: Webcast Q&A Transcript

Tuesday, 10th February 2026



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Q&A TRANSCRIPT

Craig Marshall: Thanks everybody for listening to our remarks. What we're going to do is, as usual, take one question, please, from those in the room and those online. We'll certainly come back to everybody if there's time and an extra question. I can assure you. And we will aim to finish by around 2:30 UK time here. So, Michele, you were quick off the mark there. So, we will turn to you first. And if I can just ask everybody to say their name and the company they're with, please. Thank you.

Michele Della Vigna (Goldman Sachs): Michele Della Vigna from Goldman Sachs, thank you very much for the wealth of information provided today. I wanted to come back to the finance costs. I think it's very helpful to look at all of the different sources of debt and to lay out the \$15 billion reduction. I was wondering, what does it mean in terms of reduction in actually the finance costs by 2027? How much could we expect that to go down by then?

Kate Thomson: Thank you for the question, Michele. And I understand, of course, why you're asking that. Look, what we've tried to do today is be utterly transparent on the totality of the financial obligations that we are managing. And I think it underlines the imperative to do something now to really strengthen our balance sheet and make a step change in the pace at which we do that in service of growing free cash flow. There are a couple of elements that it's worth just calling out. So, the Deepwater Horizon obligation, that is a payment that we will make each year. This year it's \$1.6 billion, next year it's \$1.2 billion, and then it's materially complete by the end of 2032. And then we turn pretty much to hybrids and debt. We've got a net debt target of \$14 to 18 billion. That is our first priority. And we are determined to deliver that. We've got a line of sight to it now. And we will, of course, be stepping through that as we go through the year and we get proceeds in.

I'm very cognisant of the S&P limitations on hybrids, the 10% in any one year, up to a cumulative of 25%. Having said all of that, I think it's incumbent on us as we have excess cash to make the very best economic decisions in terms of how we deploy that. You can do the rule of thumb based on what you can see. Our current financing costs are today to have a sense of what a \$15 billion total reduction could look like by 2027. The actual reduction will obviously depend on the choices that we make

as we deploy that excess cash. But this is ultimately about materially changing the total financial obligations we are servicing and as a consequence, drive higher free cash flow and position us strongly to have the best opportunity to develop the set of organic options that we have ahead of us, which are unique.

Martijn Rats (Morgan Stanley): Yeah. Hi. Hello. It's Martijn Rats, Morgan Stanley. So ask a question about the dividend. The guidance for growth and dividend per share is still 4% plus. But when the buyback was still there, you could say, well, look, a good couple of points of that actually does come from the share count reduction from the buyback. So, in many ways there is a little bit of an underlying upgrade in the outlook for the total dividend growth of the company. And I was wondering if there's a sort of the fact that you remove the buyback, but cap the dividend growth, is there also a signal in there that there is confidence in the long run? And is that something that I'm interpreting correctly here, as in like because you could also say, look, most of the dividend growth actually just came from the buyback share count reduction. But despite that, we are keeping the dividend growth on track.

Kate Thomson: Yeah. I mean, mathematically, you could reach the conclusion you've outlined, Martijn, I completely agree with you. I think it's really important we have a progressive dividend, and we've been really clear only a year ago that that's a 4% increase per annum. And the board is comfortable. We want to retain that. That's the first priority in our financial frame. Beyond that, it's about building back the balance sheet and investing for growth.

Yes, the flywheel for share count reduction has changed with the decision around the suspension of the buyback. But I think one of the things that Meg and I will need to step through when she comes in April is contemplate what sort of balance sheet we want that is in support of the growth options that we have ahead of us, and we'll need to step through that. But for now, the financial frame is clear. The only thing we are altering is we are suspending buybacks and putting all of that excess cash against strengthening our balance sheet, the dividend, the 4% growth per annum is exactly what we want to maintain right now.

Chris Kuplent (Bank of America): Chris Kuplent, Bank of America. Got another one for you, Kate. You showed the performance in 2025, in most respects was well ahead of targets you laid out 12 months ago. So, I wonder whether you could talk us through the decision-making tree. Why, in the end, you decided to suspend the buyback.

Kate Thomson: I don't know that it's as complicated as a tree actually, Chris. I think this is just strong financial discipline. Over the last year, we've created a materially different hopper of options in terms of future earnings growth. And now the right decision to take is to strengthen our balance sheet, to give us the foundation from which we will access that, and it will also create a degree of choice over how much of that we continue to hold as working interests.

You know that we have significant growth opportunities in the Paleogene, in Brazil, there's others in Namibia. We currently hold Paleogene and Brazil 100%, and at some point, we can make choices around how much we may want to dilute. The strength of the balance sheet that we have will allow us to make choices that are positioned to enable us to capture maximum shareholder value. So, I don't think it's as complicated as a decision tree on the balance sheet. This is just about the right decision now to take an action that materially increases the pace at which we strengthen our balance sheet and gives us that foundation for the future.

Josh Stone (UBS): Thank you. Hi. It's Josh Stone here from UBS. I'm afraid I'm going to come back to the use of cash if that's okay. I think you've taken a very brave decision to suspend the buyback. And I think ultimately the right decision for the reasons you've laid out. One thing that's not very clear, though, is where - at what point would you feel more comfortable to reinstate the buyback program? Is it the case of having to wait for a new CEO to sort of decide that leverage level? Do you have some views yourself of at what point the leverage level would be appropriate for bp to be able to buy back its own stock? Thanks.

Kate Thomson: Thanks, Josh. I'm sure at some point someone's going to ask a question of Carol and Gordon here on the panel as well. When will we reinstate? You can see from the sort of proforma impact of the remaining divestment proceeds, what we think that the order of magnitude could be as we deliver the remaining \$20 billion over the next couple of years. So, I think there's an opportunity to deliver a materially stronger balance sheet. I'm probably going to repeat myself a couple of times this afternoon. So please bear with me. I think it's really important that Meg and I have the space with Gordon and the team to go through the hopper of options that we've got in terms of our growth looking ahead.

We've got an incredibly powerful set of organic growth that we've created through the drill bit that is more value accretive than going and buying barrels. And we need to consider those and think about how they rank and which ones we invest in, what

order of priority. Once we're clear on that, then I think we can decide what sort of balance sheet we need to support that. And I think it's important that we have the time and space to do that. For now, what we're focused on is delivering the net debt target, the \$14 to 18 billion. And once we have delivered that, then I think we'll be in a position to update you. But I'm not going to suggest when that may or may not occur. Right now, we've got plenty of things to step through.

Doug Leggate (Wolfe Research): Thank you. I think folks have flogged the financial question quite a bit. So I will turn to Gordon, if I may. Gordon, you gave a few hints on Bumerangue, obviously. I wonder if I could ask you just to give us a few more hints. The recoverable number is pretty critical to the outlook for Bumerangue. You've talked about high quality rock. Rule of thumb, I would say 40%. Could you give us an idea what you're thinking and what working interest would you be prepared to go forward with an early production system? I'm sorry, it's Doug Leggett from Wolfe.

Gordon Birrell: Yeah, thanks. Thanks for the question. Let me take the equity question first. It's early days, and we're in no rush to take a partner. When we do take a partner, it will be the right partner for value and the right partner who can bring something to the table to help us develop this field. We're not putting out a recoverable number right now because I'd like to understand a bit more across the reservoir what the variability is across the reservoir if nothing else, before we put any more numbers. I remain excited by it, there's nothing I see that has diminished my excitement about this field. 100%, eight billion barrels and good terms to develop on. So, we're going to do the appraisal program early next year. That will enable us to lock down a development concept at that point in time.

But just as a reminder of what we did put out there last year, that should take you a long way to figure things out, Doug, would be 1,000 meters of hydrocarbon column; 900 condensate, 100 oil. And we did say the gradient across the rock was consistent, which would tell you it's well connected in the vertical sense. And we told you it's 300 kilometers square, so there's a reasonable amount of data out there and there's reasonable analogs out there, I would say, but we're not going to put a recoverable number out until we reduce that uncertainty range down to something that we're more comfortable with. Well, it could be a wide range. I'm comfortable for the moment at 100. We'll find the right partner and we'll come down. But it's material for our company, and it really is and the terms are good. So, we'll retain a very significant proportion of this field.

Lydia Rainforth (Barclays): Thanks. It's Lydia Rainforth from Barclays. I'm going to come back to capital discipline. What's different this time? And we've talked - the board have talked about needing more rigor, more diligence. Kate, you referenced that there have been write-downs and impairments. And you are all very compelling at that. There's lots of opportunities. But how do you - has anything changed in that capital allocation process? What's different? How do investors trust that you're going to make the right decisions going forward?

Carol Howle: I think that - let me start on that and see whether you want to jump in, Kate. So, there has been a real cultural shift in cost and discipline in bp, and I think you'll have seen that from the results from 2025, in terms of the progress around cost reductions. I think also capital productivity, and Gordon can give some great examples around that productivity efficiency gains that we're seeing on the production side. I think we know that every dollar has to compete within the portfolio. We're very much focused on that. We're only going to be investing in the very best of opportunities. It's what we are holding ourselves to account on. So everything needs to compete. And that's why we made some very difficult portfolio decisions last year and will continue to review the portfolio and make those right commercial decisions going forward.

Kate Thomson: I guess the only other thing, I think I absolutely agree with you, Carol, is as a leadership team, we know how important this is. It's got a huge degree of focus, and we know we need to get this right. You've seen a significant structural shift from us in terms of strategy. We know that we went too far, too fast a number of years ago. But as we take investment decisions today, we are focused very hard on interrogating the level of confidence that we've got on the returns, testing hard the downside risk as we take every single investment decision. And I think in time that will show up with less impairments. Of course, you're always going to have impairments that are driven by an environment around you. I hold those slightly differently to impairments that you could argue are a consequence of capital allocation. But the impairments that we've taken in 4Q are a direct consequence of a deliberate decision to tighten the capital that we're deploying and the pace at which we're deploying it to maximise returns and shareholder value in terms of cash flow.

Craig Marshall: Gordon, do you want to talk capital efficiency?

Gordon Birrell: Yeah, just a plug for the teams out there doing it every day. I mean, some tremendous real examples of capital productivity in Azerbaijan and ACG and Atlantis we're drilling these long, undulating horizontal wells with geosteering. So a significant reduction in dollar per foot of rock contacted. In bpx, in our lower 48 business, 20% improvement in completion time, 9% improvement in drilling time. So, in lower 48, we can unlock the same amount of resources in a year using eight rigs that used to take us ten rigs. So that's real capital productivity coming through, which means there's less capital required to hit our targets, means we can allocate capital elsewhere. So, the capital productivity drive that we've been on for a number of years is starting to come through to the bottom line in terms of activity.

Paul Cheng (Scotiabank): Hi. Good morning or good afternoon your time. Thank you. If I could, Kate, on the \$5.5 to 6.5 billion on the cost reduction target increase, how much is that relate to the sale of the Castrol interest? And also, when you look at say cumulatively, you're talking about \$2.8 billion of the savings. Can you break down between portfolio impact and the actual cost savings? Thank you.

Kate Thomson: Yeah. Hi, Paul. Thank you for your question. In terms of the change in the target, we've added \$1.5 billion onto the \$4 to 5 billion just to reflect the transaction on Castrol. So hopefully, that's fairly straightforward. With regard to the \$2.8 billion that we've delivered to date, you may remember when we set this target out there, we talked about probably around half of the savings coming from our supply chain and our third-party optimisation. That's exactly the analysis that I've looked at. In terms of that \$2.8 billion, half of it has come from supply chain and third party, and then of the remaining half, it's pretty evenly split actually, between organisational optimisation and portfolio. So that's the way to hold the \$2.8 billion delivery so far.

Alejandro Vigil (Santander): Hello. Thank you. Alejandro from Santander. My question is about the remaining divestments you have until the end of 2027, which are the priorities in terms of assets you want to sell in terms of the sectors? Probably more on the downstream or you are counting on the farm down on some of the discoveries in 2025 for this target? If you can elaborate on that. Thank you.

Carol Howle: So, when we look at the portfolio, I mean, we're very much looking at it with regard to the best returns for bp. Where could others see more value in certain assets than we do? And so, we're looking at that as well. So, we're looking across the whole portfolio, across upstream and downstream and also into the low carbon business. At the moment, we do have under process the Gelsenkirchen

refinery. We're looking at Austria retail. As you know, we've also got interested parties for Lightsource bp. So that will also be an area that we're looking at. And there are certain areas that we'll consider whether we farm down on them. I don't think there's a contingent decision, we don't need to, it's the question of what's the right decision for bp. For example, in our position in the Paleogene. So, we're looking at each specific piece in the portfolio in terms of its value add to bp. From a strategic perspective, the value for us, the value for our shareholders, and we're weighing it up on that basis. Did I miss any, Kate?

Kate Thomson: No, we'll update you as we go. We've got a really good hopper in terms of depth and breadth of quality on assets. So we have plenty of choice and we aren't in a rush. You can see we've said for this year, three to four on top of Castrol, it's a typical level of just ongoing high grading of our portfolio of assets. We won't guide in advance where that's likely to come from. We will make those value-based decisions as we step through them.

Mark Wilson (Jefferies): Thank you. Hello, it's Mark Wilson from Jefferies. It's a really interesting setup because by 2027, when you've got your balance sheet down, you should have a concept development for Bumerangue. So Bumerangue clearly looms large in your future. I'd like to ask, firstly, does this just outweigh all the others? You've got 12 total exploration discoveries. So just give us a pecking order there. And early 2027 comes up very quickly. Are you telling us you would be happy to appraise this through 2027 at 100% working interest? Thank you.

Gordon Birrell: Let me just comment on the quality of our hopper. If you look at the WoodMac benchmarking, they're using their numbers using their methodology. They give us 23 years of production at the current production level. That's the longevity we've created in the company through accessing discovered undeveloped barrels like Karabagh, like Kirkuk, as well as through the drill bit with Namibia, with what we've done in Egypt, what we've done in Trinidad and what we've done in Bumerangue. So, we have a very rich hopper of opportunities. So, I won't give you a rank order, but clearly, Bumerangue has the potential to be very, very material for our company. And Brazil is a country we know well, we've operated there for many, many years in different types of businesses there. Namibia is very exciting. Of course, the discoveries are under the Azure brand, but we've drilled three wells there, three exploration wells in block 85 and two discoveries. Two nice discoveries. Liquids, good quality rock, good quality fluids. So I would expect them to come to the fore rather quickly.

And then we have an ongoing program in Trinidad, which we like as well. So there's been a number of discoveries in Trinidad that will push close to the front of the queue, I think. And then of course, in Azerbaijan we've got Karabagh, which is discovered undeveloped, that we also are working hard on to make that into an economic investment. So I wouldn't put any rank order on them. They all compete on the day based on their economics. They won't all get funded for sure. And we'll go back to quality through choice. As I mentioned earlier, your question about would we go through the full appraisal phase as 100% bp? We could if we have a partner before then that would add value to bp. Then of course, we would take a partner. So I'm not 100% committing to it, but we're, as I mentioned earlier, we're in no rush to take a partner. It has to be for value here.

Biraj Borkhataria (RBC Capital Markets): Hi. Thanks for taking my question. It's Biraj Borkhataria, RBC. One of the things I was struggling with in the morning was reconciling the net debt target, which was unchanged with the buyback cut. You're obviously cutting capex as well. You're cutting opex as well. So just trying to understand the moving parts there. I know you're going to potentially redeem some of the hybrids, so that will put upward pressure on that number. But a couple of other moving pieces. Has your view on the ability to sell Lightsource changed? Because there's not - I don't know how much equity value is there, but there's obviously a lot of debt associated with that. And secondly, could you just rationalise why you did a partial sell down for Castrol rather than the whole thing, which I think was part of the original plan? Thank you.

Kate Thomson: Was that one question or three? That's all right. I'll let you off, Biraj. So, I think your first, maybe it was an observation as opposed to a question, which is the net debt target hasn't changed. No, it hasn't. I'd like to deliver the target and then we'll see. I'll just take the opportunity while I'm talking about that target again, just to make it clear, that is not an automatic trigger for us to reinstate the buyback. We need to take a holistic view of the balance sheet. We need to set ourselves up for the growth that we've got. And I think it's appropriate that we think about that very carefully before we start talking about it.

Having said that, of course, we understand the share buyback is a tool for returning excess cash to shareholders, and we do need to think hard about the balance between investing for growth and returning to shareholders. For now, the imperative is strengthening that balance sheet, and we're utterly clear on that. A couple of things that also came through on some of the earlier questions and in the room were around, is the change in buyback something around confidence? There's

something that I heard earlier on in the room and you're asking a question around confidence in Lightsource, but I think one of the things that's important to iterate right now is you can see from the results we've printed today that actually our underlying performance is incredibly strong. So, this is not a lack of confidence. If anything, I'm more confident in the delivery against our plan than I was at a year ago when I stood up here. This is around creating the right strength.

And on Lightsource, I think Carol mentioned it just a couple of moments ago, we've got a number of interested parties who are looking very hard at Lightsource, and we're working through that. And of course, we'll only transact for value, but right now, we're moving through that process. But there's no need to rush. And then on Castrol, we took our time to completely evaluate what a transaction around Castrol could look like. It's a great asset. It's a great business with real future ahead of it in terms of earnings growth.

And we came to the conclusion that the transaction that we signed with Stonepeak just before Christmas was the right transaction to do. It is a good value decision, a good value transaction. An enterprise value (EV) of \$10.1 billion. And it gives us good multiples, I think 8.6 times EV/EBITDA, which is at least as good as, if not better than, other precedent transactions. And on top of that, the retention of the 35% gives us the opportunity to share in the future upside. So, I think it's a good transaction for us and for shareholders. And it materially de-risks that \$6 billion against our balance sheet, which is really important.

Irene Himona (Société Générale): Thank you. Irene Himona at Bernstein. Carol, I wanted to ask you a question, not as interim CEO, but as head of trading. When you are adding to the portfolio things like Archaea biogas and Lightsource renewables, you had expressed a sort of vision that by enhancing or adding more tradeable products, the return from trading would thereby improve. And today, you disclosed a 4% enhancement to group ROACE from trading, which to me sounds sort of top end of the range you had given before. It used to be two to four or three to four. So I wanted to ask, is this 4% over the last six years, legacy oil and gas? Or have these businesses which, actually, you impair today, have they made any contribution to that profitability of trading? Thank you.

Carol Howle: Thank you for the question, Irene. So we have delivered, as you said, a 4% from supply, trading and shipping for the sixth year in a row¹. And what I would

¹ On average, a 4% uplift to ROACE over the last six years.

just call out there is that that's been through a number of commodity cycles. It's through lots of different volatility sets. So what we have is a really competitively advantaged team who look at our bp business from the asset base. So I think we sort of said before, we look at what can we optimise and deliver from the asset base, that's around 2%. We look at around 1% from optimisation and 1% from value trading. Within that, we do work, for example, with Archaea around routes to market and around the different types of channels, whether that's into utilities or into transport. So we support that. We've also supported working with refineries and with our oil and gas business, as you say.

I think what we've seen is a real sort of change in, one, the bp portfolio. We've got such a rich set of opportunities at higher levels of return, which means we need to make really difficult choices. So that's what you will have seen in Q4 around the Archaea impairment, for example. We're making difficult choices in terms of where we're putting our capex going forward because we see returns elsewhere. I would say we don't guide forward on the 4%. But I would say I think the capability and the experience within the team has meant that we can deliver that through a number of different opportunity sets, and we optimise the assets that bp has, and we will continue to do that going forward.

Alastair Syme (Citigroup): Hi. It's Alastair Syme at Citi. I'm not sure who I'm asking this to. Can I ask about the Mona project? I appreciate it's under JERA Nex bp, but the decision to go forward on that development to leave Morgan, what's the sort of the timeline and how should we think about the financials, given that you didn't get anything under the AR7 auction?

Carol Howle: So I would say that is a JV discussion. So in terms of that decision to move forward with Mona. I think it is a question for the JV. One thing I would say is from our perspective, we're not looking at any increase or update in terms of what we said previously with regard to capital allocation to that JV. So that just remains consistent from what we've said previously in case that was behind the question.

Lydia Rainforth (Barclays): Thanks, it's Lydia again from Barclays. I haven't asked a question about technology and AI in particular. It's one of my favorite topics. But when you think about what you can achieve the progress that is being made on AI, and it won't just be costs, it will be recovery rates, etc, can you just express just share your thoughts on the agentic AI side?

Gordon Birrell: Yeah. I'll let me have a go at that. One of the things I'm particularly excited about is what we call Wells Advisor. So bp has been drilling wells for well over 100 years. So you could imagine the amount of learnings, data and knowledge that we have in our system, and that's a variety of systems. So we've now created an AI system where our well site leaders, the people on the rig who are making day to day decisions, facing problems, problem solving, they can access all that data through Wells Advisor, which is using AI as a platform. So it's huge benefits of that. The other one that we're doing right now, again, in the wells, I've got examples in every discipline, but I like the wells ones, I have to say.

The kick detection, we monitor all our wells with an extra pair of eyes now, from monitoring centers in Houston and in Sunbury. And we've put AI algorithms in place that will have small kicks, tiny kicks that the human may not detect on the rig floor. We're picking them up using AI, and with 90% success rate, we can detect small kicks within roughly a minute, and that allows us to react before it becomes a problem, before you have to shut down drilling, before you have to shut the well in and then circulate out that pressure. It allows you to react with the weight on bit and mud weight. And it just allows the drilling to happen more smoothly. So there's lots of examples where we're doing that across every technical discipline in my shop with Emeka and his team's help, of course, with their digital expertise, their AI expertise. So I think every function across the company has examples like that.

Lucas Herrmann (BNP Paribas): Thanks very much, Craig. It's Lucas Herrmann from BNP. One, perhaps, you, Carol or you, Kate or Gordon equally. I'm listening to what you're saying. And there's a very rightful targeting of balance sheet, etc, and search to improve the balance sheet. And in doing that, obviously, you're taking away from equity holders in the near term and you're asking them to stay with you, and you're not giving equity holders a date whereby they might expect to see greater distributions from the company in line with many of your peers. So effectively, I'm sitting here and I'm thinking, what's the investment case around this stock? And increasingly, it comes back to obviously improvement, much of which though you've already stated and indicated.

Where it comes back to what you're trying to emphasise, I think is growth. And okay, if I'm going to believe in growth and the growth opportunity of your portfolio, what should I expect in terms of the continued release from you, demonstration from you around your opportunity set, and why it is that I should accord a higher multiple effectively to this stock and your business going forward, given that in the context of immediate return, I'm really - I'm not expecting very much over the course of the

next two to three years, given the way you've defined and thought about balance sheet. I think there is a question in there somewhere. It's asking you effectively, please tell me what the investment case for bp is, whether that's an appropriate definition, but more importantly is how do you see the investment case for bp? Or should we just be waiting for Meg to arrive? And I know you've got your own views, but and at that point, you formulate as a group. So, I'm not trying to insult anyone. I'm just trying to understand.

Carol Howle: No, no. Completely understand. And look, let me just start on that last bit because I think what is clear, is that the board and the leadership team were very clear that the strategic direction is right in terms of what we laid out in February. So, we are focused on delivering that. We're focused on delivering the primary targets. We know that there's more opportunity there. And that is a good thing, because we know that there is more that we can deliver. So, we're focused on improving performance, improving competitiveness, and of course, doing all of that safely. So very much focused on that. We're in action. That doesn't change when Meg comes. Because that is our strategic direction.

In terms of, and I'll let Gordon speak sort of more deeply to the hopper, but we do have and the team has created the best set of opportunities from an upstream exploration and access perspective that we've seen for a long time. So there is a lot of opportunity set there. As Kate said, it's created at the drill bit. We're not looking at going and buying expensive barrels in order to increase our reserves or to look at the sort of resilience and length of those reserves. So we believe we've got a differentiated portfolio versus our competitors. And our challenge is deciding how we access it. What's the best value for our shareholders, and delivering the returns and making sure that we actually deliver on the major project execution success that we've seen previously. We brought these projects online last year, five ahead of schedule. That is significant capability, as Gordon says, IPA benchmarking best in class for bringing projects up and keeping them up. So these are all things from a forward profile perspective that you can look to from bp delivery. Gordon, do you want to add.

Gordon Birrell: Thank you. I'll just emphasise a couple of things. And Lucas, I would offer you reasons to believe short term, medium term, long term. Short term, the base is strong. On what's online today, we're managing decline within that 3% to 5%. The infill program that we have that short-term barrels that pays the bills, is strong. Rigs running very efficiently. 70% of the wells that we drill are first and second quartile. So short term, you've got an efficient machine that's bringing

resource forward into production, into cash. Medium term, I would say you've got bpx growing to 650,000 barrels per day of high-quality production and average returns across bpx at the moment 45% IRR, \$65 WTI, \$4 Henry Hub.

And then the Paleogene comes on in 2029 through 2030 and will ramp up. So that's a medium term. We've got strong medium term. And then longer term, you've got - when I say longer term, early 2030s. I hope we'll bring on Bumerangue, the Azule fields will start coming on in Namibia. There's more to go in Angola. And there'll be much more Paleogene to come on as well. We've got ten billion barrels of oil in place in the Paleogene. The first two projects, Kaskida, Tiber-Guadalupe, are only developing about 600 million. So there's a huge amount of running room in the Paleogene longer term. So there's a short-term case, medium term case and long-term case that I believe are reasons to believe.

Craig Marshall: Thanks, Lucas. And I've just come back to what we said earlier. The simpler, stronger, more valuable bp, the simpler piece is the action we're taking on the portfolio is the right decisions to simplify the portfolio. It creates optionality. The stronger piece, which is about the cost we're taken out of the system. the opportunity there that we've got. And also, around really focusing that portfolio and the optionality that I think Gordon talks about, and ultimately that more valuable bp is the piece around what can we do in combination as we try to drive that simplification and strengthening the company? So, I think that real focusing discipline is something. And of course, we run the company not just for the next week, the next quarter. These are around long-term value optimisation decisions. And I think we feel like they're the right things to be taking. So I think come back to that simpler, stronger, more valuable piece.. Yes. Kim?

Kim Fustier (HSBC): Thank you. Kim Fustier from HSBC. There's been a revival of interest in the MENA region from IOCs. And of course, bp was sort of early in this trend. I wonder if you could give us an update on early resource access and early-stage activity in places like Libya, Iraq, Kuwait. And also, maybe just a word about your exploration plans in the Gulf of Mexico, where I think you accessed a lot of acreage in the recent licensing round.

Gordon Birrell: Yeah. Let me just go to the Middle East first, Kim. So, there is actually an exploration well, we're drilling right now, Matsola² offshore Libya that our

² Matsola-1 exploration well operated by Eni, in partnership with bp, Libya's NOC, and the Libyan Investment Authority

exploration team is very excited by. It's probably the most watched exploration well in the industry right now. We spudded the well in January. It's a relatively short well, so we'll know the result of that one relatively quickly. And then, of course, in Iraq, we've been in Rumaila for many years, and that's been a tremendous success story. We've managed to hold production flat in Rumaila for many, many years. That led us to be invited into Kirkuk within the contract area and three billion barrels of oil in place in the bigger area likely to be 20 billion barrels in place. So huge resources there. So, we've made huge progress. And of course, Abu Dhabi, the P5 investment program that we've been putting our dollars into, along with the partners onshore Abu Dhabi is showing up in terms of growth as well. So, a huge amount of growth in our portfolio in the Middle East.

Gulf of America exploration program, it's part of reloading the hopper. So our exploration hopper, we've been around the world and actively, like many, many companies, actively reloading our hopper. The Gulf of America, of course, an area that we know very well, been there for many years. And we've reloaded some in the Miocene, but mainly in the Paleogene. So that's created even more running room. The next exploration well in the Paleogene will be Conifer, which we'll spud later this year, which could be quite an exciting tie back to Kaskida eventually. So again, creates longevity on that Paleogene opportunity that we have. So, there's lots of running room in the Gulf of America and a lot in the Paleogene, still some in the Miocene that we've been producing from historically for many, many years.

Maurizio Carulli (Quilter Cheviot): Maurizio Carulli from Quilter Cheviot Investment Management. First of all, well done for having cut the buyback. It was the right thing to do. And probably you even managed to do at the right time. The question is past year, there were three important new appointments at board level. Albert Manifold as the new chair and the former CFO of Shell and the former CEO of Devon with strong oil experience. Is it possible for what you can say to get a sense of how these changes are filtered through the senior management day-to-day business. And ideally, if it is possible to get an answer from each of you three.

Carol Howle: Checking our homework. So I mean, the first thing I'd say is Albert is our non-executive chairman, so he's responsible for oversight of our delivery and our strategic direction. And we, as the leadership team and CEO, as when Meg comes in, are responsible for the day to day running of the company. So we do have many interactions as you can manage with the board on that basis in terms of sharing with them progress against strategic milestones and in particular, the

delivery that we've been talking about here. We talk about also where we are on portfolio and where we believe that we need to get to and why.

And we also share with them competitor insights. We share with them benchmarking how we're looking to continuously improve what we're doing. So having that composition of the board means that we have people who've been in the industry. We have people who are outside of the industry who challenge us in different ways as well from a technology perspective. And I think that just helps us generate more ideation and thinking, and we challenge ourselves from that perspective. So, the intent there is to make even better decisions with the use of that capability set. How do you feel about it, Kate?

Kate Thomson: I'm sure that's three questions in one. But look, I've been on the board now for two years, and my reflections are during that time, I think the conversations in the boardroom have got better and better. Albert coming in as chairman, he's been incredibly supportive. He brings a different style and that freshness is great. And I think we welcome it. It's great to have a different set of eyes coming in to ask questions. And it's really important in any area of any business that you have a freshness coming in and an ability to look from the outside and ask the right questions. So, I welcome that. I particularly welcome the number of ex-CFOs I have around me. That's a real treat.

And then I think the addition of Dave Hager, as you know, deep upstream experience, particularly on the onshore, again, we have retirements that will continue to roll through. And it's important that the board is thinking ahead of those to make sure that the succession is smooth. And that's a lot of what you've also seen happening in the boardroom. But I think the board are incredibly supportive of management. I think we have really good quality conversations and debates. It's not just a monologue and presentation. It's a conversation which I think is incredibly helpful.

Gordon Birrell: Maurizio, I'll give you a very brief answer. I've found Dave Hager and Simon Henry tremendous. They're very experienced oil and gas people, of course. Their ability to challenge William Lin and myself in the matter of oil and gas investments, performance is absolutely tremendous. And I would call out Melody Meyer as well. Melody's been around a few years, and her challenge on safety, frankly, has made us a better company. And then, of course, Albert is value driven and we like that.

Josh Stone (UBS): Thank you. Josh Stone again from UBS. I wanted to ask you about your integrated model, because in the past, when anyone's challenged you on that, you've always said lots of value in trading. We won't entertain splitting up parts of the business. But if we look at the last year, it feels like there's been an awful lot of oil and gas satellite ventures set up off the consolidated parent. And you yourselves have done similar things, which I think about your offshore wind venture. It sounds like you're going to do a similar thing with Lightsource bp, maybe also on Kirkuk. So, when you think about the potential for doing more transactions like this to unlock value, particularly from your oil and gas business, in particular, I'm thinking about bpx because you talked about some particularly attractive returns there. Is your view still that bpx is far better as a consolidated business? Or actually, could this be one where there's a lot of strategic value as an independent company? Thanks.

Carol Howle: I think I'll come at it and add something on the trading side and then I'll pass it to Gordon. I think first thing to say is bpx is a core part of bp. It's got a great production forecast through to the end of the decade. I'll let Gordon talk to that. And it's also a great show of onshore expertise that we share across the rest of bp, so that would be difficult to replicate. In terms of decisions around do we keep it for integrated value or not? The key thing there is what is the best value for bp? So, if we do believe that actually it's better value, somebody else will value that position more, and we can actually utilise the proceeds from that into a different opportunity that we value more, even if there is trading value associated with it, we will make the right decision for bp on that basis.

Now, that doesn't mean, of course, from the trading perspective, we don't try and negotiate in terms of what those terms are or whether we can keep access in any way, shape or form for the better value, the additive value. But it's all about: is this the right thing for bp to do strategically? Are we going to get fair market value proceeds in? Can we use those proceeds elsewhere more wisely for something that creates a better opportunity? And does it deliver better value for shareholders? If the answer is yes, if my trading team are listening, then the answer is that's what we'll do. Gordon.

Gordon Birrell: I would just add, Josh, it's a great question, but bpx, has seven billion barrels of oil and gas equivalent, 30 Tcf of gas, 15 Tcf yet to develop. It's a core part of bp. And there is the integration value, which I'll finish on. But it's such a core part of bp, and the performance in the last two years has just come on leaps and bounds. Two metrics that I haven't mentioned already. On NPV per section, we are either

one, two or three [ranked] in the three basins that we operate in, in the Permian, the Eagle Ford, or the Haynesville, we're number one, two, or three on NPV per section. We're first quartile in reserves per foot drilled, across the three basins that we're drilling. And most recently, in the last six months, we've been knocking it out of the park in terms of reserves and production per well, from East Texas in the Haynesville. So, it's a core part of our company performance has improved. It's a key part of our growth. And, the team in Denver work hand in glove with Carol's team to maximise the value that we get from the production. So, we like having it in the portfolio and no intention to sell it off at this point.

Paul Cheng (Scotiabank): Thank you. Paul Cheng, Scotiabank. It's a little bit of the other side of the question of what Josh just asked. On one hand, I think you guys were saying that you want to create a simpler and streamlined operation of bp. And on the other hand, that from time to time that you have formed joint venture, like whether it is in Angola, in Norway, and now that after the sales of Castrol. And I think we all have seen from history, joint venture maybe is great at day one, but over time becomes very difficult to manage and complicates operations and decision making. So, how do you balance the two objectives?

Carol Howle: Paul, let me start and then I'll pass it to the team. So, we balance it in terms of what do we think is going to create the best value for bp, what's the best opportunity in the market, and then how can we execute it in the most efficient way? And we've got a number of these JVs that we've participated in and we've learned a lot from the JV's that we've participated in over the years. Some of that has been how to improve or where we need to reduce complexity, or indeed where we've been able to bring learnings into bp, and also improve ourselves from that. But the key is around it's a value conversation that we have, and we will always look to try and minimise complexity and improve safety and the operational reliability around them. But we do have a lot of experience in the area, both for JVs that we are no longer in, but also the ones that we're deeply embedded in today.

Kate Thomson: Maybe if I add a couple of other thoughts, Paul. I think that the philosophy of being simple is good, and I think complexity can slow you down and it can make you expensive. And neither are particularly helpful when you're trying to create maximum value. But there are times where you can create unique opportunities to create value through a marriage of assets and partners. And I'd call out Aker BP and Azule actually, because I think what you've had there is you've had a symbiosis occur where you've had the right partner with the right marriage of assets put together to create a differential value proposition. It doesn't occur

everywhere, but where those circumstances exist, then I think it's appropriate to contemplate stepping into that complexity to create the incremental value.

And we see something very similar with Castrol. As we looked across the entire range of different options we had on Castrol, the transaction that we signed just before Christmas was the transaction that would deliver the most value for us as a company. And I think that's important that we always have that philosophy as our core as we contemplate different structures. But I don't think you can ever rule them out. It's about creating the most value and that will come down to facts and circumstances.

Matt Lofting (J.P. Morgan): Thanks. Matt Lofting, JPM. Just to follow up on the cost reduction program, the progress through the \$2.8 billion the last two years has been really good and swift, and looks like the - I guess the target ex-Castrol implies that the run rate slows over the next two years. I just wondered what's holding you back from being more ambitious and raising that target at this point?

Kate Thomson: Look, we have delivered really well so far against the \$4 to 5 billion, \$2.8 billion, so well over halfway there. Honestly, on cost, I don't think you're ever done. I mean, ultimately, why are you focused on your cost base? It's to make you the most efficient company and the most competitive company you can be amongst your peer group, it has to be why you're doing this in order to drive incremental cash flow. And we talked about AI earlier. I think a lot of the areas of the company, we are looking hard at AI, both in terms of cost reductions but also increased productivity. And I think we're just at the early stages of truly understanding what it's going to unlock. I think there are so many opportunities there that we don't yet contemplate.

With regard to upgrading targets, I think there's far more value to be gained by actually demonstrating what we're delivering rather than continually upgrading targets. So measure us on what we do as opposed to the targets that we put out. And I think you can hear we are really, really focused on this area of efficiency and competitiveness, and we will keep going. We will continue to strive. Our competitors are not standing still and neither are we.

Doug Leggate (Wolfe Research): Thank you. Kate, I'm going to come back to you, if I may, listening to the questions in the room there still seems maybe it's a US versus European thing. I'm not sure. But there still seems to be a perception that cash

returns and value return are the same thing, and they're obviously not. You have \$158 billion enterprise value if we take the capital structure as it sits as it was at the end of 2025. You've talked about taking that down to \$143 billion. That's 2027. Where do you see the optimal capital structure? However, you want to express it as the \$7 billion versus the \$5 billion of debt holders versus shareholders, or maybe even in breakeven terms, where do you see the optimal capital structure by 2030?

Kate Thomson: I think, Doug, that's a work in progress. This is the bit that I feel we need to spend quite a lot of time reflecting on in consideration of how we want to step into these growth options we have ahead of us. I think it's the right question to ask. Come back and ask me again in six months, when I've had time to go through all of this with Meg. Pre-judging where we should get together as a leadership team once Meg is in role, I think would be inappropriate. I think there's a moment in time as we, as a new leadership team, come together and take a really good look at where we're taking our company in the next five years and debate that with the board. And then when we're ready, we'll be able to update that. It's absolutely the right question to ask. I just don't have a great answer for you right now because we're still working through that.

Chris Kuplent (Bank of America): Thank you. It's Chris Kuplent again from Bank of America. I might be quick. Kate, I realise you've added the \$1.5 billion Castrol leaving your opex into your targets. What about your free cash flow targets for 2027? It looks like Castrol did amazingly well this year, running at about a \$700 million number or so in terms of free cash flow. Where are you in terms of how much free cash flow you've sold so far? \$5 billion achieved in 2025 plus \$6 billion announced. And do you therefore feel those are still free cash flow wise rounding errors before you have to update us on your 2027 free cash flow target?

Kate Thomson: Yeah. Let me give you a quick answer and maybe we can come back to that with the IR team offline, Chris. As I look at the free cash flow targets, of course, they were excluding any divestment on Castrol. Of course, what we've got is we're taking operating cash flow out from the divestment. But of course, we're also reducing capex. But on the other side, I'm reducing my finance costs. So as I look at the totality of that, probably in the order of a couple of hundred million, but we have a range around our free cash flow generation. I'm still very confident of us delivering the targets. I see no need to change that right now when I contemplate the impact of the transaction, but we can take you through the bridge if that's helpful.

Henry Tarr (Berenberg): It's Henry Tarr at Berenberg. Thanks for squeezing me in. As I look at the developments ahead of you as you get to 2027, it looks like there's potentially a lot that could come on with Bumerangue and the Paleogene and elsewhere. Is that going to be possible within the current capex frame? And then as you sort of look at those developments and you're going through the process now as to how you're going to sort of ramp them up, how are you going to try and keep costs sort of under control and manage these developments? Are you going to approach them in a certain way to try and minimise the potential for any cost overruns, etc?

Kate Thomson: I'll take the capital frame first, Gordon, and then let you talk about developments and costs. Look, Gordon and William challenge me hard regularly on competing for capital inside the frame. As you know, we've got a lot of choice there. We're very comfortable with regard to our \$13 to 15 billion frame for the next two years as we step through the initial phases of the understanding and then progression of these opportunities. No need to change that. We'll update beyond that when we're ready. But Gordon, in terms of cost control.

Gordon Birrell: Yeah. And just add on capex, the Paleogene is fully funded within our capital frame that we have both projects at FID, Kaskida, and Tiber-Guadalupe, so fully funded. The big spend on Bumerangue really doesn't kick in until closer to FID, depending on whether we do an early production scheme or not. And we just need to make choices around that. In terms of cost, I think this is where technology and AI comes in. The platform, or the FPSO, of tomorrow won't look like the one of the past. And our most recent platform that we brought online, absent GTA, in Azerbaijan, Azeri Central East is fully controlled from onshore, so much less staff offshore. Easier shifts on people, less people exposed to hazards. So, I think that's the future and that will keep costs down. So, it's the application of technology, continuing to work with supply chain. That's always going to be a feature of upstream, where huge amount of our spend and opex is in the supply chain. So, I see lots of opportunity actually to keep costs under control as we grow the company.

Craig Marshall: Super. Thanks, Gordon. I think what we'll do is we'll close the Q&A on that note. A big thanks as ever to everybody for their questions in the room and for those online. We do look forward to meeting with many of you in the coming weeks and coming months. And on behalf of Carol, Kate and Gordon, our thanks again.

[END OF TRANSCRIPT]